EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Calayan, Cagayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri, Cagayan. This town has a total land area of 54,953.75 hectares and is a third class Municipality with twelve (12) barangays. This municipality is an archipelago composed of small islands and islets.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Calayan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Calayan, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/ (Decrease)
Financial Position			
Assets	789,913,165.77	687,584,811.72	102,328,354.05
Liabilities	179,636,880.87	154,635,063.77	25,001,817.10
Government Equity	610,276,284.90	532,949,747.95	77,326,536.95
Financial Performance			
Income	244,865,921.96	184,339,690.82	60,526,231.14
Expense	152,969,080.86	155,699,743.33	(2,730,662.47)
Appropriations, Allotments and Obligation			
Appropriations	248,683,055.00	178,511,318.04	70,171,736.96
Allotments	217,899,524.07	154,347,797.11	63,551,726.96
Obligations	187,914,837.73	142,684,844.19	45,229,993.54

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Calayan, Cagayan for the year-ended December 31, 2022 due to: (1) inclusion of properties classified as unserviceable, missing and those below the capitalization threshold of P15,000.00 in the PPE account affecting the reliability of the balance amounting to P583,969,106.66; (2) existence of long outstanding receivables amounting to P14,765,671.12; and (3) undeposited Cash-Local Treasury account amounting to P2,949,122.77.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **Properties classified as unserviceable, missing and those below the capitalization threshold of P15,000.00 are still included in the Property, Plant and Equipment (PPE) account of the Municipality, contrary to COA Circular No. 2020-006 dated January 31, 2020, and Item 2.2 of Circular No. 2005-002 dated April 14, 2005, thus, casts doubt on the reliability of the balance of the said account amounting to P583,969,106.66 as of December 31, 2022.**

   We recommended that the Management, thru the Local Chief Executive:

   a. Direct all the accountable officers who are in custody of unserviceable properties to return the same to the GSO-Designate for the institution of measures for the proper disposal of these properties in accordance with Title V of COA Circular No. 92-386 dated October 20, 1992;

   b. Instruct the Municipal Accountant to drop from the books the unserviceable and missing or non-existing properties upon the completion of the disposal procedures as required in COA Circular No. 2020-006 dated January 31, 2020 and Title V of COA Circular No. 92-386 dated October 20, 1992;

   c. Instruct the GSO-Designate to institute measures for the proper disposition of non-existing /missing properties in accordance with Items 7 & 8 of COA Circular No. 2020-006 dated January 31, 2020;

   d. Instruct the Municipal Accountant to take up the necessary accounting entries to recognize in the books of accounts the loss of PPE and, where appropriate, to set up the corresponding receivables from concerned accountable officers/personnel for the non-existing/missing PPEs;

e. Instruct the Municipal Accountant to prepare the adjusting entries for the reclassification of PPE items below the capitalization threshold of P15,000.00 to appropriate accounts;

f. Instruct the GSO-Designate to cancel the Property Acknowledgement Receipts of the properties below the capitalization threshold and issue an Inventory Custodian Slip in lieu thereof; and

g. Require the Inventory Committee to strictly comply with the provisions of COA Circular No. 2020-006 dated January 31, 2020 for the one-time cleansing of PPE account balances of the Municipality.

2. **The balance of Receivables accounts amounting to P14,765,671.12 as of December 31, 2022 remained outstanding for more than ten (10) years, contrary to Section 2 of Presidential Decree 1445 and Item 6.1 of COA Circular No. 2016-005, thus, affecting the fair presentation of these accounts in the Financial Statements.**

   We recommended that the Management, thru the Local Chief Executive:

   a. Require the two (2) employees still connected with the Municipality to settle their excess claims for travelling expenses immediately;

   b. Exhaust all possible remedies available to collect from the persons liable who are separated or deceased, such as resorting to all legal remedies available to the LGU; and

   c. Conduct regular monitoring and analysis of receivable accounts to ensure that these are collected when due and the immediate liquidation and settlement of all cash advances.

3. **The balance of the Cash – Local Treasury account amounting to P2,942,122.77 remained undeposited with the authorized government depository bank, thereby, exposing government funds to risk of loss, theft and misappropriations, contrary to Sections 2, 69 and 105 of the Presidential Decree No. (PD) 1445.**

   We recommended that the Local Chief Executive require the Municipal Treasurer to deposit immediately to their authorized government depository bank the collections amounting to P2,942,122.77 as reported in the Financial Statements to avoid possible loss, misapplication or misappropriation of government funds and to impose administrative sanctions, if warranted.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the fourteen (14) audit recommendations in the prior years' Annual Audit Reports, eight (8) were fully implemented, two (2) was partially implemented, and four (4) were not implemented and reiterated in Part II of this Report.